

Subrogation and Litigation Hold Guide

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Audience: Claims adjusters

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1. When Subrogation Applies

Subrogation arises when Meridian Mutual pays a claim under Collision, Comprehensive, or Medical Payments coverage, and a third party is legally responsible for the loss. Per Policy Wording Section 8.4, the insured's right to recover from that third party transfers to Meridian Mutual to the extent of the payment made.

2. Identifying a Subrogation Opportunity

A claim should be flagged for subrogation review when the claim narrative or incident report identifies an at-fault third party — for example, a hit-and-run driver later identified, an uninsured motorist claim where the at-fault driver is later found to have assets, or a comprehensive loss caused by a third party's negligence (a falling object from a poorly secured commercial vehicle, for instance).

3. Litigation Hold

Once a claim is flagged for subrogation and a demand has been sent to the responsible third party or their insurer, a litigation hold applies: all claim documentation — the intake form, repair estimate, incident report, and adjuster case notes — must be preserved in its original state and not altered, even to correct a later-discovered error. Corrections are made via an addendum, never by editing the original record.

4. Interaction with the Payout Computation

Subrogation recovery does not change the amount paid to the insured. The deterministic payout computation (Claims Adjudication Guidelines, Step 4) is unaffected by whether a claim is later flagged for subrogation; subrogation

recovery is a separate, downstream process against the responsible third party, not a reduction applied to the insured's own claim.

5. Statute of Limitations Awareness

Subrogation demands must be initiated with enough lead time to file suit within Ohio's applicable statute of limitations if a voluntary settlement is not reached. A subrogation-flagged claim nearing this window without a resolution should be escalated, not left pending.

6. Documentation Requirements

A subrogation file retains: the original claim documentation, the identified responsible party and basis for liability, all demand correspondence, and the recovery outcome. This is in addition to, not instead of, the standard documentation requirements in the Claims Adjudication Guidelines, Section 4.